

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2015	30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Bank 31.03.2015 Unaudited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)	Group Consolidated		
							30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)
A.	ASSETS								
1	Cash balances (both local and foreign)	214,391	285,753	293,144	277,468	266,243	214,391	285,753	266,243
2	Balances due from Central Bank of Kenya	2,445,822	2,756,198	2,212,712	2,705,869	2,995,336	2,445,822	2,756,198	2,995,336
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	-	-	-	-	-	-	-	-
	a. Kenya Government securities	-	-	-	251,595	1,097,030	-	-	1,097,030
	b. Other securities	-	-	-	251,595	1,097,030	-	-	1,097,030
	b) Available for sale:	278,879	264,331	254,911	263,911	275,361	278,879	264,331	275,361
	a. Kenya Government securities	278,879	264,331	254,911	263,911	275,361	278,879	264,331	275,361
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	6,782,745	7,616,243	7,412,427	7,985,196	4,898,012	6,782,758	7,616,256	4,898,012
7	Deposits and balances due from banking institutions abroad	664,745	967,266	75,058	113,892	137,843	664,745	967,266	137,843
8	Tax recoverable	175,926	4,315	-	49,898	72,230	164,261	14,260	93,810
9	Loans and advances to customers (net)	43,273,307	45,243,539	47,688,648	49,983,574	51,706,716	43,273,307	45,243,539	51,706,716
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	255,120	255,120	1,605,120	1,605,120	-	-	-	-
13	Investment in Joint ventures	190,800	172,549	201,017	201,017	201,017	190,800	172,549	201,017
14	Investment properties	-	-	-	-	-	110,821	314,347	1,263,177
15	Property and equipment	1,001,424	1,282,081	1,323,353	1,323,664	1,335,282	1,007,404	1,282,252	1,337,775
16	Prepaid operating lease rentals	39,979	39,860	39,745	39,629	39,514	46,203	46,038	45,555
17	Intangible assets	487,181	521,114	649,269	674,704	765,912	487,181	521,114	766,318
18	Deferred tax asset	313,116	445,431	445,431	445,431	445,431	313,278	446,455	449,712
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	508,683	637,034	580,238	617,219	671,677	905,902	1,031,322	969,894
21	TOTAL ASSETS	56,632,118	60,490,833	62,781,072	66,538,187	64,907,602	56,885,752	60,961,680	66,503,799
B.	LIABILITIES								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	33,356,284	36,310,472	34,314,786	38,813,529	38,371,032	33,146,542	36,105,929	37,567,877
24	Deposits and balances due to local banking institutions	-	-	-	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	16,554,904	16,996,112	17,101,929	16,987,451	17,267,388	16,701,904	17,143,112	17,837,097
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	74,769	-	-	-	-	-
30	Dividends payable	46,359	46,307	29,189	270,788	-	46,359	46,307	89,737
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	788,504	861,909	1,439,836	804,105	522,788	873,796	1,107,450	712,503
34	TOTAL LIABILITIES	50,746,051	54,214,800	52,960,509	56,875,873	56,161,208	50,768,601	54,402,798	56,207,215
C.	SHAREHOLDERS' FUNDS								
35	Paid up /Assigned capital	1,157,300	1,157,900	1,741,233	1,741,233	5,000,000	1,157,300	1,157,900	1,743,983
36	Share premium/(discount)	1,556,473	1,557,073	4,304,950	4,357,989	3,513,662	1,556,473	1,557,073	4,356,257
37	Revaluation reserves	512,332	701,568	701,892	701,462	512,332	701,568	701,568	-
38	Retained earnings/Accumulated losses	2,338,636	2,616,281	2,893,298	2,719,051	(41,678)	2,569,720	2,899,130	3,921,935
39	Statutory loan loss reserves	311,561	64,021	-	137,073	223,659	311,561	64,021	223,659
40	Other Reserves	(40,985)	(45,245)	(45,245)	(45,245)	-	(40,985)	(45,245)	-
41	Proposed dividends	-	173,685	173,685	-	-	-	173,685	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	5,886,067	6,276,033	9,820,564	9,662,314	8,746,393	6,117,151	6,558,882	10,296,584
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	56,632,118	60,490,833	62,781,072	66,538,187	64,907,602	56,885,752	60,961,680	66,503,799

III	DISCLOSURES AS AT 30 SEPTEMBER 2015	30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Bank 31.03.2015 Unaudited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)	Group Consolidated		
							30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)
1	Non-Performing Loans and Advances								
a)	Gross non-performing loans and advances	4,311,507	4,163,451	3,871,637	4,159,032	4,071,885	4,311,507	4,163,451	4,071,885
b)	Less: Interest in Suspense	189,160	202,458	403,075	453,142	535,936	189,160	202,458	535,936
c)	Total non-Performing loans and advances (a-b)	4,122,347	3,960,993	3,468,562	3,705,890	3,535,949	4,122,347	3,960,993	3,535,949
d)	Less: Loan loss provisions	731,844	813,945	603,677	771,541	834,144	731,844	813,945	834,144
e)	Net non-performing loans and advances(c-d)	3,390,503	3,147,048	2,864,885	2,934,349	2,701,805	3,390,503	3,147,048	2,701,805
f)	Discounted value of securities	3,390,503	3,147,048	2,864,885	2,934,349	2,701,805	3,390,503	3,147,048	2,701,805
g)	Net Exposure(e-f)	-	-	-	-	-	-	-	-
2	Insider loans and advances								
a)	Directors, shareholders and associates	355,470	430,568	448,553	492,585	681,312	355,470	430,568	681,312
b)	Employees	833,166	851,725	916,974	897,310	921,895	833,166	851,725	921,895
c)	Total insider Loans and Advances	1,188,636	1,282,293	1,365,527	1,389,895	1,603,207	1,188,636	1,282,293	1,603,207
3	Off-Balance Sheet items								
a)	Letters of credit, guarantees and acceptances	89,850	74,730	81,099	203,381	268,129	89,850	74,730	268,129
b)	Other contingent liabilities	-	-	-	-	-	-	-	-
c)	Total contingent liabilities	89,850	74,730	81,099	203,381	268,129	89,850	74,730	268,129
4	Capital Strength								
a)	Core capital	4,365,132	4,840,577	8,342,307	7,085,965	7,935,564	4,365,132	4,840,577	7,935,564
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/Deficiency	3,365,132	3,840,577	7,342,307	6,085,965	6,935,564	3,365,132	3,840,577	6,935,564
d)	Supplementary capital	2,102,062	1,730,919	1,599,837	1,613,308	1,407,450	2,102,062	1,730,919	1,407,450
e)	Total capital (a+d)	6,467,194	6,571,497	9,942,144	8,699,273	9,343,014	6,467,194	6,571,497	9,343,014
f)	Total risk weighted assets	42,110,969	43,534,183	46,194,268	49,430,848	50,285,490	42,110,969	43,534,183	50,285,490
g)	Core capital /Total deposit liabilities	13.09%	13.33%	24.31%	18.26%	20.68%	13.09%	13.33%	20.68%
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
i)	Excess/Deficiency	5.09%	5.33%	16.31%	10.26%	12.68%	5.09%	5.33%	12.68%
j)	Core capital /Total risk weighted assets	10.37%	11.12%	18.06%	14.34%	15.78%	10.37%	11.12%	15.78%
k)	Minimum Statutory Ratio	8.00%	8.00%	10.50%	10.50%	10.50%	8.00%	8.00%	10.50%
l)	Excess/Deficiency (j-k)	2.37%	3.12%	7.56%	3.84%	5.28%	2.37%	3.12%	5.28%
m)	Total capital /Total risk weighted assets	15.36%	15.10%	21.52%	17.60%	18.58%	15.36%	15.10%	18.58%
n)	Minimum Statutory Ratio	12.00%	12.00%	14.50%	14.50%	14.50%	12.00%	12.00%	14.50%
o)	Excess/Deficiency (m-n)	3.36%	3.10%	7.02%	3.10%	4.08%	3.36%	3.10%	4.08%
5	Liquidity								
a)	Liquidity Ratio	30.33%	30.76%	28.31%	27.30%	24.23%	30.33%	30.76%	24.23%
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
c)	Excess(Deficiency) (a-b)	10.33%	10.76%	8.31%	7.30%	4.23%	10.33%	10.76%	4.23%

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2015	Bank				Group			
		30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	31.03.2015 Unaudited (Ksh'000)	30.06.2015 Unaudited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)	30.09.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	30.09.2015 Unaudited (Ksh'000)
1	INTEREST INCOME								
1.1	Loans and advances	4,145,996	5,814,279	1,633,277	3,361,786	5,217,351	4,146,475	5,814,833	5,217,351
1.2	Government securities	26,972	36,014	8,788	17,853	58,877	26,972	36,014	58,877
1.3	Deposits and placements with banking institutions	397,472	523,935	148,931	320,518	557,906	397,472	523,935	557,906
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	Total interest income	4,570,440	6,374,228	1,790,996	3,700,156	5,834,135	4,570,919	6,374,782	5,834,135
2	INTEREST EXPENSES								
2.1	Customer deposits	1,322,328	1,882,732	597,562	1,178,125	1,924,258	1,311,244	1,867,321	1,900,811
2.2	Deposits and placement from banking institutions	-	-	-	-	-	-	-	-
2.3	Other interest expenses	1,075,168	1,473,482	411,705	816,038	1,214,812	1,075,168	1,473,482	1,214,812
2.4	Total interest expenses	2,397,496	3,356,214	1,009,267	1,994,163	3,139,071	2,386,412	3,340,803	3,115,624
3	NET INTEREST INCOME/(LOSS)	2,172,944	3,018,014	781,729	1,705,993	2,695,064	2,184,507	3,033,979	2,718,511
4	OTHER OPERATING INCOME								
4.1	Fees and commissions on loans and advances	180,876	232,497	57,779	99,643	134,843	180,876	232,497	134,843
4.2	Other fees and commissions	59,565	79,576	22,651	47,531	68,024	105,353	134,542	68,024
4.3	Foreign exchange trading income/(Loss)	23,268	17,803	3,277	47,505	72,104	23,268	17,803	72,104
4.4	Dividend Income	2,375	2,375	-	-	-	2,375	2,375	-
4.5	Other income	159,212	179,564	14,940	37,763	262,475	380,408	455,478	126,899
4.6	Total Non-interest income	425,296	511,814	98,646	232,442	537,447	692,280	842,695	401,870
5	TOTAL OPERATING INCOME	2,598,240	3,529,828	880,375	1,938,436	3,232,510	2,876,787	3,876,674	3,120,381
6	OPERATING EXPENSES								
6.1	Loan loss provision	273,279	551,219	144,709	283,364	424,130	273,279	551,219	424,130
6.2	Staff costs	705,320	965,412	248,168	521,850	746,612	732,515	976,430	781,531
6.3	Directors' emoluments	12,727	14,262	1,655	8,013	13,155	13,087	23,262	13,571
6.4	Rental charges	18,037	31,289	13,308	13,308	43,523	20,331	34,359	45,571
6.5	Depreciation charge on property and equipment	79,527	77,539	23,762	46,039	69,089	79,755	77,845	69,317
6.6	Amortisation charges	7,133	12,710	5,026	6,378	8,058	7,133	12,710	8,082
6.7	Other operating expenses	550,285	592,594	180,134	409,771	645,173	722,427	781,944	704,563
6.8	Total Other Operating Expenses	1,646,308	2,245,025	616,763	1,288,723	1,949,740	1,848,527	2,457,769	2,046,765
7	Profit/(loss) before tax and exceptional items	951,932	1,284,803	263,612	649,712	1,282,771	1,028,260	1,418,904	1,073,616
8	Exceptional items	-	(18,251)	40,668	40,668	28,468	-	(18,251)	28,468
9	Profit/(loss) after exceptional items	951,932	1,266,552	304,281	690,381	1,311,239	1,028,260	1,400,653	1,102,083
10	Current tax	(285,580)	(546,261)	(91,284)	(207,114)	(322,665)	(308,478)	(576,027)	(324,618)
11	Deferred tax	-	149,849	-	-	-	-	150,710	-
12	Profit/(loss) after tax and exceptional items	666,352	870,140	212,996	483,266	988,574	719,782	975,336	777,465
13	Other Comprehensive Income								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	-	(85,151)	-	-	-	-	(85,151)	-
13.3	Revaluation surplus on Property,plant and equipment	-	226,161	-	-	-	-	226,161	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	(17,533)	-	-	-	-	(17,533)	-
14	Other Comprehensive Income for the year net of tax	-	123,477	-	-	-	-	123,477	-
15	Total comprehensive income for the year	666,352	993,617	212,996	483,266	988,574	719,782	1,098,813	777,465
	Earnings per share	3.85	3.76	2.45	2.78	3.78	4.15	4.21	2.98
	Dividend per share	0.75	1.50	-	0.65	0.65	0.75	1.50	0.65